



Land of the Ngunnawal people
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Dear Interested Party

Re: Request for submissions – Woolworths proposed acquisition of City Kitchen

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on Woolworths Group Limited's (**Woolworths**) proposed acquisition of Beak & Johnston Holdings Pty Ltd (**City Kitchen**) (the **proposed acquisition**). City Kitchen is:

- the 77% owner of B&J City Kitchen Pty Ltd and Alors Holdings Pty Ltd (Woolworths currently owns the remaining 23%) and
- the 100% owner of Beak & Johnson NZ Pty Ltd.

Beak & Johnston Pty Ltd (**Beak & Johnston Greenacre**) does not form part of the proposed acquisition.

Woolworths is a large Australian and New Zealand retailer that primarily operates supermarkets. Woolworths sells chilled and frozen ready meals in its retail stores. City Kitchen is a manufacturer of chilled and frozen ready meals in Australia and New Zealand. City Kitchen supplies these products to supermarkets, petrol and convenience store operators, food producers and food service operators (such as airlines).

The ACCC's investigation is focused on the impact on competition. In particular, we are seeking your views on:

- the closeness of competition between City Kitchen and other manufacturers or wholesalers of ready meals
- the barriers to entry or expansion in the manufacture or supply of ready meals, and
- whether the proposed acquisition would enable Woolworths to foreclose rival grocery retailers' access to the supply of ready meals or rival suppliers of ready meals access to grocery retailers.

How to share your views

A list of specific questions is at **Attachment B**. The more information we have, the better we can assess the impact of the proposed acquisition, but if you are unsure for any questions, you may leave them blank. You may also include any other information you think is relevant.

You can contact us in two ways:

- if you would like to comment in writing, please do so by **15 November 2024** by email to mergers@accc.gov.au with the title: *Submission re: Woolworths-City Kitchen*
- if you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test that the ACCC applies in considering the proposed acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at [ACCC mergers register](#).

Confidentiality of submissions

The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our Informal Merger Review Process Guidelines contain more information on confidentiality.

Yours sincerely



Morag Bond
General Manager
Merger Investigations Branch

Attachment A – Details of the proposed acquisition

The proposed acquisition of Beak & Johnston Holdings Pty Ltd (**City Kitchen**) includes Woolworths acquiring the 77% interest in B&J City Kitchen Pty Ltd and Alors Holdings Pty Ltd that it does not currently own and acquiring 100% of Beak & Johnson NZ Pty Ltd. Beak & Johnston Greenacre is excluded from the transaction perimeter and will remain independently owned after the proposed acquisition.

Woolworths (ASX:WOW) is an Australian and New Zealand retailer. Its operations in Australia primarily include supermarkets. Woolworths operates a national supermarket business, including its own distribution centres for the vast majority of its products, and is Australia's largest grocery retailer. Woolworths acquires and sells chilled and frozen ready meals through its retail stores.

City Kitchen is a manufacturer and wholesale supplier of chilled and frozen ready meals in Australia and New Zealand. City Kitchen brands that would be included in the proposed acquisition include Strength Meals Co, Simmone Logue, Pitango, Artisano, and Pasta Master. City Kitchen supplies these products to supermarkets, petrol and convenience store operators, food producers and food service operators (such as airlines).

Beak & Johnston Greenacre, which is excluded from the proposed acquisition, supplies sauces, soups, slow-cooked meats and other chilled ready meals.

Attachment B - Questions

1. Please provide a brief description of your business or organisation and outline the reasons for your interest in the proposed acquisition, including any commercial relationships you have with City Kitchen or Woolworths.

Supply of chilled and/or frozen ready meals

2. Please identify the main manufacturers and wholesale suppliers of chilled and frozen ready meals in Australia and the extent to which they compete with City Kitchen, including their relative size and product offerings compared to City Kitchen.
3. Please identify and describe the main wholesale customers of chilled and frozen ready meals in Australia, including the size and types of customers (for example, grocery retail or food service).
4. Please describe the nature of the commercial relationships between suppliers of ready meals and customers, for example, contract term length and any exclusive supply arrangements.
5. Please describe the process customers undertake to switch to a new ready meal supplier, including the cost and time required to switch.
6. Does Woolworths currently preference any brands of ready meals over others, for example through increased or superior shelf space?
7. If the proposed acquisition leads Woolworths to preference ready meals manufactured by City Kitchen over othersuppliers , would this have a significant impact on competition between ready meal suppliers? Why or why not?
8. Would the proposed acquisition give Woolworths the ability and/or incentive to foreclose or frustrate access its competitors' access to ready meals? Why or why not?

Substitutability between types and/or brands of chilled ready meals

9. Do consumers regard types and/or brands of chilled ready meals to be substitutable with each other?
10. How do suppliers of chilled ready meals seek to differentiate their products from those of other suppliers, for example through price, quality, or other unique characteristics?

Entry and expansion

11. What are the barriers to entering the supply of ready meals in Australia and the costs of an existing supplier expanding the amount supplied and/or product range? You may wish to comment on:
 - a. set-up costs for a new entrant or expansion costs for an existing competitor
 - b. whether new entrants need to secure customers before entry and, if so, the minimum scale required for new entry
 - c. timeframes for new entry or expansion, and
 - d. regulatory or other requirements or barriers to entry or expansion.
12. Are there any recent or upcoming examples of entry or exit in the supply of chilled or frozen ready meals in Australia?

13. How readily can suppliers switch from manufacturing or supplying frozen ready meals to chilled ready meals (and vice versa)? Please provide any recent examples of suppliers switching between supplying frozen and chilled ready meals.

Other information or competition issues

14. Please provide any additional information, comments, or concerns that you consider relevant to the ACCC's consideration of the proposed acquisition.